

approach is more curated and tailor-made,” says Sunil Rohokale, MD & CEO of ASK Investment Managers.

NOT A MASS PRODUCT

While investing in a PMS scheme now has a stiff entry barrier of at least ₹50 lakh, this was not always the case. When Sebi first formulated the PMS guidelines in 1994, the minimum ticket size was ₹5 lakh, which was subsequently revised to ₹25 lakh, and finally to ₹50 lakh in 2020. “PMS is distinctly differentiated from other investment instruments in terms of catering to the investment needs of discerning, informed and higher-risk appetite investors,” says Jiten Doshi, Founder and Chief Investment Officer of Enam AMC. “It is targeted at investors seeking the right balance of performance, personalisation and their risk tolerance.”

While the minimum ticket size is largely restrictive for a majority of the population, the PMS industry has outpaced the MF segment, which saw its total AUM rise from ₹13.53 lakh crore in March 2016 to ₹40.04 lakh crore in March 2023, per data from the Association of Mutual Funds in India. And while comparisons between MFs and PMS is common, another vital difference between them is that MF investors can choose between active and passive schemes, but a typical PMS investor is looking for active fund management. “There is no reason why investors looking at index returns or just investing in the Top 30 or 50 stocks should opt for it [PMS], as they can get much cheaper products in the form of ETFs (exchange traded funds) or passive index funds,” says Manish Sonthalia, Chief Investment Officer—Equities at Motilal Oswal Asset Management. “PMS is typically meant for mid- and small-cap stocks... [It] is an HNI product and investors are looking for returns. It is a stock picker’s product... and it’s all about active fund management.”

While passive schemes offered by MFs that replicate the returns of benchmark indices are available at much cheaper rates, with some charging just 20-30 basis points, “PMS firms can charge maximum fees of 2.5 per cent,” says Sonthalia. But that has not stopped investors from across the country from availing these services.

BHARAT RISING

The richest Indians are spread across more than 100 cities in the country, shows the IIFL Wealth-Hurun India list. In other words, there is enough money sloshing around in the far-flung towns and cities of India, and any industry—such as PMS—that is dependent on wealthy people, has to tap into these areas. And while PMS players are going hammer and tongs to woo wealthy Indians, the PMS industry has benefitted substantially from



SUNIL ROHOKALE
MD & CEO, ASK
INVESTMENT
MANAGERS

“PMS is not a mass product. It is for those who have generated wealth or are in the process of generating wealth. The approach is more curated and tailor-made”



JITEN DOSHI
CIO & CO-FOUNDER,
ENAM AMC

“The trinity of financialisation, formalisation and digitisation has increased... has led to increased awareness and acceptance of PMS products, and access to them”



SAURABH MUKHERJEA
FOUNDER & CIO, MAR-
CELLUS INVESTMENT
MANAGERS

“The trend is upwards in the ‘non-Big 5’ cities. We call them the ‘Next 20’ cities. These cities will increasingly become more important for us, and the industry as well”